PRIVATE EQUITY INVESTMENT CASE | EXECUTIVE SUMMARY

North Texas Senior Living Portfolio

Independent underwriting study of Cima's announced 10-property, 359-unit North Texas acquisition | November 2, 2026

Illustrative base-case assumption / output	Value
Assumed purchase price	$48.5M, $135,000 per unit
Initial acquisition equity	$24.2M
Senior financing / coupon	60% LTV, 7.5% annual coupon
Year 5 property NOI	$5.5M
Exit cap rate / gross exit sale	8.0% / $69.3M
Base levered IRR / equity MOIC	19.2% / 2.19x
Modeled bid ceiling for 15% return	$53.1M
Minimum annual debt service coverage	1.94x

Finding

The simplified model clears its 15% hurdle in the base case, but its downside exposure is severe. Under assumed lower occupancy and rents, labor inflation and a wider exit capitalization rate, the modeled property sale value falls below the loan payoff. A conservative investment process must prioritize debt service headroom, licensed-care quality and verified property-level operating data.

Proposed next step

Conditional HOLD FOR DILIGENCE. Request trailing 24 months financial statements, resident census, labor registers, clinical surveys, capital scopes and actual debt terms before drawing a purchase recommendation.

Research integrity

The 10-property and 359-unit scale is based on Cima's September 29, 2026 announcement. All other property economics are clearly identified independent analyst assumptions. The companion Excel workbook is fully formula-driven; this is neither an appraisal nor Cima investment guidance.